

Court No. - 29

Case :- WRIT - C No. - 54432 of 2006

Petitioner :- Uco Bank

Respondent :- State Of U.P. And Othes

Counsel for Petitioner :- Manoj Misra,Ajay Shankar

Counsel for Respondent :- C.S.C.,S.D. Kautilya,W.H. Khan

Hon'ble Tarun Agarwala,J.

Hon'ble Umesh Chandra Srivastava,J.

List in the next cause list along with record of the writ petition No.6116 of 2006.

Office is directed to trace out the counter affidavit filed on 7th August, 2007 and place it on record.

Order Date :- 2.1.2017

Pr/-

(Umesh Chandra Srivastava,J.) (Tarun Agarwala,J.)

Court No. - 29

Case :- WRIT - C No. - 54432 of 2006

Petitioner :- Uco Bank

Respondent :- State Of U.P. And Othes

Counsel for Petitioner :- Manoj Misra,Ajay Shankar

Counsel for Respondent :- C.S.C.,S.D. Kautilya,W.H. Khan

Connected with

Case :- WRIT - C No. - 6116 of 2006

Petitioner :- Uco Bank

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- Manoj Misra

Counsel for Respondent :- C.S.C.,Q.H. Siddiqui,S.D. Kautilya,W.H. Khan

Hon'ble Tarun Agarwala,J.

Hon'ble Abhai Kumar,J.

We have heard Sri T.P. Singh, learned Senior Counsel assisted by Sri Ajay Shankar for the petitioner and Sri Mahboob Ahmad for the Electricity Department.

The petitioner is a Bank and is occupying a portion in the Nagar Nigam premises as a tenant since 1974. The contention of the petitioner is that under an arrangement with the Nagar Nigam, the petitioner was occupying a portion of the Nagar

Nigam premises as a tenant and was provided electricity through a common Meter which was in the name of the Nagar Nigam. The petitioner was paying electricity charges as per the arrangement to the Nagar Nigam. In June 2005, on account of increase in the electrical connections inside the petitioner's premises, it is alleged that the Nagar Nigam arranged an electricity cable in the petitioner's premises directly from the pole and disconnected its internal electricity supply. On 3rd January 2006 an inspection was made at the petitioner's premises and it was found that a direct cable through which electricity was being supplied to the petitioner's premises from the electricity pole. An inspection report dated 3rd January 2006 was made based on which a provisional assessment order dated 4th January 2006 was issued directing the petitioner to pay a sum of Rs. 27,89,068.80 or to show cause by filing an objection.

It transpires that the petitioner filed an objection on 9th January 2006 which was rejected on 28th August 2006. The petitioner being aggrieved by the assessment order has filed the present writ petition.

Prior to the filing of the writ petition, after the inspection was made and the electricity was

disconnected, the petitioner filed Writ Petition No. 6116 of 2006 praying for a writ of mandamus commanding the respondents to dispose of the petitioner's application for grant of electricity connection. The contention of the petitioner in this writ petition was that the petitioner had applied for an electricity connection which was pending at the time when the inspection was made and now in the absence of electricity the bank is suffering a loss. The writ court passed an order dated 31st January 2006 directing the respondents to consider the petitioner's application for grant of electricity connection on deposit of Rs. 1 Lac.

Based on the interim order, a fresh connection has been given to the petitioner and the dispute only now remains with regard to the assessment order which was made pursuant to the inspection held on 3rd January 2006 whereby electricity charges have been billed for the period 1st January 1974 to 30th December 2005.

The contention of the petitioner is, that the assessment order was passed ex-parte without giving an opportunity of hearing and, therefore, the impugned order is violative of the principles of natural justice as embodied under Article 14 of the

Constitution of India read with Clause 6.8(c)(i) of the Electricity Supply Code 2005.

It was also contended that unauthorised use of electricity, if any, the charges can only be confined for a period of 12 months immediately preceding the date of inspection as per Clause 6.8(c)(iii) of the Electricity Supply Code whereas in the instant case electricity charges have been imposed from 1974 onwards.

It was also contended that electricity charges have been paid to the Nagar Nigam prior to June 2005 and, therefore, no further amount was payable by the petitioner either to the Nagar Nigam or to the Electricity Department.

No one appears for the Nagar Nigam, even though the list has been revised.

Having heard the learned counsel for the parties, we find that admittedly there was unauthorised use of electrical energy by the petitioner. The respondents were, therefore, entitled to make an assessment for unauthorised use of electricity under Section 126 of the Electricity Act 2003 read with Clause 6.8 of the Electricity Supply Code 2005. The procedure for making the

assessment is provided under Clause 6.8 of the Code. Under Clause 6.8(b)(i), the Assessing Officer is required to issue a provisional assessment bill, if it comes to a conclusion that there was unauthorised use of electricity and invite objections from the consumer. Under Clause 6.8(c), the Assessing Officer is required to hear the consumer.

In the instant case, we find that the provisional assessment order was made on 4th January 2006 and was served upon the petitioner on or after the said date. The objection was filed within the stipulated period on 9th January 2006. The petitioner has made a categorical statement in paragraph 23 that no personal hearing was given which has been denied by the respondents in the counter affidavit but upon a perusal of the objection it is apparently clear that no opportunity of hearing was provided to the petitioner and the objection was rejected exparte. Consequently, the assessment order cannot be sustained.

In so far as Clause 6.8(c)(iii) of the Electricity Supply Code is concerned, it is essential for the Assessing Officer to ascertain the period for use of such unauthorised electricity at the concerned premises. In the instant case, no such finding has

been given either in the provisional assessment order or in the order rejecting the objection. It is settled law that the Assessing Officer is required to ascertain the period for use of unauthorised electricity otherwise the period is confined or limited to a period of 12 months immediately preceding the date of inspection. In this regard a categorical assertion has been made by the petitioner that under an arrangement as a tenant of the Nagar Nigam electricity charge was being paid by them to the Nagar Nigam. It is, therefore, necessary for the Assessing Officer to consider the payments made by Nagar Nigam to them and to hear the Nagar Nigam if necessary.

In the light of the aforesaid, the impugned assessment order cannot be sustained and is quashed. The writ petition is allowed.

The matter is remitted to the Assessing Authority to pass a fresh order after considering all aspects of the matter and after hearing the petitioner and the Nagar Nigam, if necessary, within six weeks.

The connected writ petition is disposed of in terms of the interim order and with the condition that if after the fresh assessment order the arrears are not

paid within the stipulated period it would be open to the Electricity Department to proceed in accordance with law.

Order Date :- 9.1.2017

Ranjeet Sahu

(Abhai Kumar,J.) (Tarun Agarwala,J.)